



March 10, 2025

Assembly Member Rebecca Bauer-Kahan
Chair of the Assembly Privacy
and Consumer Protection Committee
Capitol Office, 1021 O Street, Suite 5210
Sacramento, CA 95814

Assembly Member Diane Dixon
Vice Chair of the Assembly Privacy
and Consumer Protection Committee
Capitol Office, 1021 O Street, Suite 5330
Sacramento, CA 95814

Assembly Member Christopher Ward
California State Assembly
Capitol Office, 1021 O Street, Suite 6350
Sacramento, CA 95814

RE: Ad Trade Letter in Opposition to California AB 446

Dear Chair Bauer-Kahan, Vice Chair Dixon, and Assembly Member Ward:

On behalf of the advertising industry, we respectfully oppose AB 446 in its current form, and we offer this letter to express our non-exhaustive list of concerns with this legislation.¹ We and the companies we represent, many of whom do substantial business in California, strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies. However, AB 446 would flatly prohibit businesses from setting prices based on personally identifiable information.² As drafted, the bill would prevent businesses from using personal information to offer coupons and discounts to Californians raising prices for families and price-conscious consumers. In addition, AB 446 would stifle innovation, increase costs for consumers, and fail to enhance consumer protections in a meaningful way. The Assembly Privacy and Consumer Protection Committee (“Committee”) should decline to advance the bill any further in the legislative process.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.³ By one estimate, over 1.1 million jobs in California are related to the ad-subsidized Internet.⁴ Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

¹ California AB 446 (2025-2026 Reg. Sess.), located [here](#).

² *Id.* at § 2, 7202.

³ John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located [here](#).

⁴ *Id.* at 121-23.

I. AB 446 would outlaw discounts and special pricing offers that benefit Californians and the economy.

AB 446 fails to acknowledge the value of these everyday occurrences to consumers and does not draw a distinction between discriminatory practices and personalized pricing strategies that enhance consumer experiences. For example, when a business uses personal data such as IP addresses or browsing activity to infer consumer preferences and offers a 15% discount pop-up during the consumer's visit to the brand's website, this is a legitimate and consumer-friendly use of data. This interaction would be illegal if AB 446 becomes law. Tailored discounts offered to specific consumers at the right time and in the right place reflect a business's ability to understand its customer base and helps drive economic activity. By outlawing such practices, AB 446 would deprive consumers of personalized deals and discounts they value.

AB 446 would also create unnecessary limitations by restricting businesses from setting prices based on collected, personally identifiable information including web browsing history, purchase history, financial circumstances, or consumer behaviors.⁵ AB 446 overreaches by broadly limiting lawful and beneficial uses of personal information in ways that are non-discriminatory and bring value to both consumers and businesses. By tailoring offers and discounts to match individual interests or habits, businesses can ensure that consumers see relevant options rather than random, irrelevant promotions. This personalization not only saves time and money for consumers—such as a restaurant app offering a repeat customer discount to a person who has ordered from the restaurant many times before—but also helps consumers to discover new products or services that they might not have encountered otherwise. Using data and technology to inform discounting often leads to exclusive deals, enabling consumers to save money on items they were already planning to buy.

II. AB 446 would have a negative impact on loyalty programs and incentives that many consumers value and rely on.

AB 446 would undermine loyalty programs and other incentives that many Californians rely on for savings and convenience. Grocery store loyalty programs and associated mobile apps, which use shopper data to offer tailored deals, coupons and other savings, would no longer be allowed to provide the same benefits to consumers in California if AB 446 becomes law. In these times of economic uncertainty, families who depend on these types of programs for budgeting would be negatively impacted by such a dramatic change in loyalty program practices. Similarly, whole industries, such as the automobile industry, would enter a new era where extremely popular car buyback programs could face restrictions. For instance, dealerships would no longer be able to use information known about a vehicle's age and owner to offer a buyback deal, beneficial to both the consumer and the business. AB 446 would reduce the ability of businesses to interact meaningfully with their customers, curbing personalization, stifling options for consumer engagement, and ultimately harming families across California.

⁵ See California AB 446 § 2, 7200(a), (c), (d).

III. AB 446 is unnecessary due to consumer protections and rights already afforded to Californians.

AB 446 is an overly broad measure and would create confusion for consumers and businesses. The California Consumer Privacy Act (“CCPA”) already provides consumer rights to permit Californians to opt out of the sale of personal information or sharing of personal information for cross-contextual behavioral advertising.⁶ The CCPA also regulates loyalty programs to ensure that businesses offering financial incentives, in exchange for personal information, provide consumers with a notice of financial incentive.⁷ The Attorney General has been active in enforcing these provisions.⁸ Layering on additional restrictive measures through AB 446 would not enhance consumer protection but instead diminish opportunities for personalized discounts, deals, and incentives that benefit consumers. The congruence between AB 446 and the CCPA would also be unclear due to conflicting restrictions and definitions. For instance, AB 466 would define the term “personally identifiable information” as “personal information” under the CCPA but also includes deidentified and aggregated data within its scope.⁹ AB 466’s definition would be broader than the CCPA’s, by including these data types that the CCPA explicitly excludes. Californians deserve thoughtful legislation that supports both privacy and personalization, rather than measures that hinder innovation and hurt families.

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Thank you in advance for your consideration of this letter. We ask you to refrain from advancing AB 446 further in the legislative process, as its provisions would harm both businesses and consumers alike. For consumers, the bill would not lead to more robust consumer protections and could inadvertently lead to higher prices and fewer choices. The bill would also create barriers for businesses looking to provide access to incentives and deals on their goods and services.

Sincerely,

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⁶ Cal. Civ. Code § 1798.120.

⁷ Cal. Civ. Code § 1798.125(b).

⁸ State of California, Department of Justice, Attorney General, Press Release, “On Data Privacy Day, Attorney General Bonta Puts Businesses Operating Loyalty Programs on Notice for Violations of California Consumer Privacy Act”, located [here](#).

⁹ California AB 446 § 2, 7200(c).



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CC: Members of the Assembly Privacy and Consumer Protection Committee

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